

Current Liability Coverage

The current liability coverage ratio enables investors to examine the relationship between cash inflows from operations and current liabilities, and to determine whether the company can meet its currently maturing obligations from internally generated funds. At times of creative accounting and cash crunches this is an extremely important ratio:

$$\text{Current liability coverage} = \frac{\text{Cash inflow from operations}}{\text{Average current liabilities}}$$

Illustration

In its latest year ended 31 March, Bharat Bolts Ltd. earned a net income before tax but after depreciation of Rs. 750 lakh. Depreciation was Rs. 25 lakh. Current liabilities on previous 31 March and current 31 March were Rs. 1,450 lakh and Rs. 2,350 lakh respectively.

The current liability coverage is:

$$\frac{750+25}{0.5 (1450+2350)} = 0.41$$

In other words, cash flow from operations was only 41 % of current liabilities. If current liabilities were to be paid out of internally generated funds it would take 2.44 years.